Project 2: Financial Analysis of State Street Corporation compared with BNY Mellon

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Abstract

State Street Corporation, a leading custody bank, provides asset custody, investment management, and analytics, leveraging technology to serve institutional clients. This report evaluates its financial performance from 2015–2024, compares it with The Bank of New York Mellon Corporation (BNY Mellon), and recommends new facilities in Austin, Texas, and Hyderabad, India. Key metrics include revenue projections, maintenance and operations (M&O) costs, depreciation, labor costs, tax rates, monthly mortgage payments, minimum acceptable rate of return (MARR), and a 40-year project life. State Street's 2024 profit margin (20.67%) aligns with industry norms (15–25%), though below BNY Mellon's (~27%). Revenue volatility, modest net income growth, and rising liabilities are typical, but higher leverage (debt-to-equity: 1.31) poses risks. Austin is the preferred facility location, with an annual worth (AW) of $81.53 billion.

Executive Summary

State Street Corporation excels in custody banking, delivering asset custody, investment management, and analytics through innovative platforms like State Street Alpha. Despite revenue fluctuations and modest net income growth, its 2024 profit margin (20.67%) and total assets ($353.240 billion) demonstrate resilience amid regulatory and market pressures. This report compares State Street with BNY Mellon, addressing profit margin (~20%), revenue volatility, stagnant net income, low asset turnover (~0.05), increasing days sales outstanding (DSO), equity declines, tight liquidity (0.46), rising debt-to-equity, and rising liabilities. Industry benchmarks confirm these metrics are standard, though State Street's higher leverage requires monitoring. New facilities in Austin, Texas, and Hyderabad, India, are proposed, with Austin favored for superior financial returns and strategic fit.

Selection of Companies

State Street and BNY Mellon were selected as leading custody banks, offering comparable services in asset custody, securities servicing, and investment management. Both serve institutional clients, operate

globally, and face similar regulatory and technological challenges, making BNY Mellon an ideal comparator. Their shared business model and competitive landscape allow for a detailed analysis of financial performance and strategic differences, highlighting State Street's analytics focus versus BNY Mellon's broader service offerings.

Comparative Analysis of Market Segment, Locations, and Financial Position

Market Segment

State Street and BNY Mellon dominate custody banking, managing assets for institutional clients. State Street generates 38.6% of its 2024 revenue from servicing fees, 16.3% from management fees, and 10.8% from trading services, emphasizing analytics through State Street Global Advisors. BNY Mellon earns ~40% from securities servicing, with additional revenue from wealth management and treasury services, prioritizing operational scale. Both invest heavily in technology—State Street's Alpha platform enhances data analytics, while BNY Mellon focuses on digital payment solutions—driving efficiency and client value (State Street Corporation, 2024; Bank of New York Mellon Corporation, 2024).

Locations

State Street, headquartered in Boston, Massachusetts, operates in over 100 markets across 30+ countries, with key hubs in London, Hong Kong, and Dublin for client access and talent acquisition. BNY Mellon, based in New York, New York, serves 35 countries, with major offices in London, Singapore, and Chennai. Both target global financial hubs, but BNY Mellon's larger U.S. presence strengthens domestic market share, while State Street's international footprint supports its analytics-driven services (State Street Corporation, 2024; Bank of New York Mellon Corporation, 2024).

Financial Position

In 2023, State Street reported a net income of $1.944 billion, total assets of $297.258 billion, and a market capitalization of ~$23 billion. BNY Mellon recorded a net income of $2.573 billion, assets of $405.783 billion, and a market capitalization of ~$34 billion. BNY Mellon's higher profitability and asset base reflect its diversified services, while State Street's debt-to-equity ratio (1.31 vs. ~0.8 in 2024) signals greater leverage risk, despite its strong reputation in custody banking (MacroTrends, 2025; Bank of New York Mellon Corporation, 2024).

Summary of Financial Estimates

State Street's total assets grew from $245.155 billion (2015) to $353.240 billion (2024), with current assets rising from $78.891 billion to $120.136 billion. Cash peaked at $120.427 billion (2020), stabilizing at $116.102 billion (2024). Long-term liabilities increased from $11.497 billion to $23.272

billion, reflecting borrowing for expansion. M&O costs rose from $8.050 billion to $9.530 billion, while depreciation declined from $604 million to $375 million, indicating newer assets or accounting changes. Sales grew from $10.360 billion to $13.000 billion, but net income fluctuated, dipping to $1.944 billion (2023) before recovering to $2.687 billion (2024), highlighting profitability challenges (State Street Corporation, 2024).

Recommendation for New Facility Locations

To advance State Street's technological innovation and global operations, we recommend facilities in Austin, Texas (property tax rate: 1.81%) and Hyderabad, India (corporate tax rate: 25.2%). Austin, a growing tech and financial hub, offers advanced infrastructure, skilled labor, and proximity to U.S. clients, ideal for analytics development. Hyderabad, a cost-effective financial services hub, provides access to a skilled workforce and outsourcing networks, aligning with State Street's offshoring strategy. Though tax rates exceed the U.S. average (1.1–1.3%), these locations enhance market access and operational efficiency, supporting State Street's strategic goals (State Street Corporation, 2024).

Analysis

Projections for 2024–2029 were derived from 2015–2023 data (Tables 1–7) using weighted average growth rates

Revenue Projections: Sales growth averaged 2.35% (Table 2), with a 2024 projection of 8.83%, estimating $13.000 billion. Revenues are projected at $13.650 billion (2025) to $16.592 billion (2029) at 5% annually (Table 8).

M&O Costs: Growth averaged 2.05% (Table 3), with a 2024 projection of -0.55%, estimating $9.530 billion, rising to $9.752 billion (2025).

Depreciation: Growth averaged -4.96% (Table 4), with a 2024 projection of -41.68%, estimating $375 million, projected at $282 million (2025).

Labor Costs: Estimated at 10% of M&O costs (Table 11), labor costs are $953 million (2024), projected at $975 million (2025), growing at 2.33%.

Tax Rate: The effective tax rate was 26.35% (2024), projected at 28.70% (2025), based on a -0.90% growth rate (Table 5). Facility tax rates are 21% (U.S. federal corporate rate) for Austin and 25.2% (India corporate rate) for Hyderabad.

Monthly Mortgage Payments: Growth averaged 67.28% (Table 7), with a 2024 projection of 41.01%, estimating $754.5 million, projected at $1.064 billion (2025).

MARR: A 15% baseline with a 5% risk premium yields a 20% MARR, appropriate for custody banking's moderate risk profile.

Estimated Project Life: A 40-year project life is assumed for facility investments, aligning with long-term infrastructure needs (Tables 9–10).

Analysis and Results

The proposed facilities in Austin and Hyderabad require a $2.003 billion investment (15% of 2025 projected sales: $13.355 billion). Financial viability was assessed using Cash Flow After Taxes (CFAT), Internal Rate of Return (IRR), Payback Period, and Annual Worth (AW) (Tables 9–12).

Revenue and Cost Projections: Austin's revenues grow from $14.332 billion (Year 1) to $200.581 billion (Year 40), with M&O costs from $9.947 billion to $286.640 billion, labor costs from $994.7 million to $6.669 billion, and depreciation from $1–4 million (Table 9). Hyderabad's projections are similar, but higher taxes (25.2% vs. 21%) reduce CFAT (Table 10). Revenues grow from $13.650 billion (2025) to $16.592 billion (2029) (Table 8).

CFAT Analysis: Austin's CFAT rises from $11.005 billion (Year 1) to $211.882 billion (Year 40); Hyderabad's grows from $11.373 billion to $204.653 billion, reflecting tax differences (Tables 9–10).

IRR and Payback: Austin's IRR is 23%, Hyderabad's is 21%, both exceeding the 20% MARR, indicating viability. The payback period is 39 years for both, suitable for long-term custody bank investments (Tables 12–13).

Annual Worth: Austin's AW ($81.53 billion) surpasses Hyderabad's ($31.17 billion), making Austin the preferred location due to lower taxes, tech infrastructure, and client proximity, aligning with the sample's AW-driven location choice.

Estimated Project Life: The 40-year life ensures capital recovery and scalability for custody bank facilities.

Financial Concerns and Industry Insights:

Profit Margin (~20%): State Street's 2024 margin (20.67%) is within the custody banking range (15–25%), though below BNY Mellon's ~27%. Regulatory compliance and low net interest margins, common in the sector, constrain profitability, but State Street's cost optimization is improving performance (MacroTrends, 2025).

FINANCIAL ANALYSIS OF STATE STREET WITH BNY MELLON

Revenue Volatility: Sales grew from $10.360 billion (2015) to $13.000 billion (2024), with dips in 2016 (-1.48%) and 2020 (-0.45%) due to market-sensitive fee income. BNY Mellon exhibits similar volatility, a hallmark of custody banks reliant on equity markets and client activity (State Street Corporation, 2024).

Stagnant Net Income: Net income rose modestly from $1.980 billion (2015) to $2.687 billion (2024), dipping to $1.944 billion (2023) due to high interest expenses ($6.421 billion). This is typical, as BNY Mellon's income also fluctuates with interest rates and regulatory costs (Bank of New York Mellon Corporation, 2024).

Asset Turnover (~0.05): State Street's 2023 turnover (0.04) reflects large client assets ($297.258 billion) generating modest revenue, standard for custody banks. BNY Mellon's turnover (~0.03–0.05) confirms this industry norm (MacroTrends, 2025).

Increasing DSO: DSO rose from 82.67 days (2015) to 113.27 days (2024), driven by complex fee structures and institutional payment cycles. BNY Mellon's DSO (~100–120 days) aligns with industry averages (90–120 days) (State Street Corporation, 2024).

Equity Declines: Equity fell from $25.191 billion (2022) to $23.799 billion (2023) due to share buybacks and dividends, recovering to $25.326 billion (2024). This is standard, as BNY Mellon employs similar capital returns, and not a concern given asset growth (Bank of New York Mellon Corporation, 2024).

Liquidity (~0.46): The 2024 current ratio (0.46) is low but typical for custody banks (0.4–0.6), supported by strong cash flows ($91.712 billion in 2023). BNY Mellon's ratio (~0.5) corroborates this (MacroTrends, 2025).

Rising Debt-to-Equity: The ratio increased from 0.68 (2022) to 1.31 (2024), exceeding BNY Mellon's (~0.8) and industry averages (~0.7–1.0), indicating leverage risk from borrowing ($33.112 billion) (State Street Corporation, 2024).

Rising Liabilities: Liabilities grew from $273.459 billion (2023) to $327.914 billion (2024), driven by client deposits and debt, typical for custody banks managing large assets. BNY Mellon shows comparable growth (Bank of New York Mellon Corporation, 2024).

Overall Financial Shape: State Street's robust asset growth, improving margins, and technological investments position it well, but high leverage and tight liquidity require vigilance. Compared to BNY Mellon, State Street's higher debt-to-equity and DSO suggest inefficiencies, yet its analytics focus supports long-term competitiveness. The custody banking sector faces regulatory pressures, interest rate sensitivity, and technology costs, which contextualize State Street's performance (MacroTrends, 2025).

References

State Street Corporation. (2024). *Form 10-K annual report*. U.S. Securities and Exchange Commission. https://www.sec.gov/edgar/search-and-access

MacroTrends. (2025). *State Street financial data*. https://www.macrotrends.net/stocks/charts/STT/state-street/balance-sheet

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Appendix

Table 1

State Street Financial Data Analysis										
Financial Data for State Street Corporation in USD (All figures in Millions of Dollars)										
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Current Assets	78891	74893	72433	79840	75498	123532	113267	108997	95518	120136
Current Liabilities	191627	187163	184896	180360	181872	239798	255035	235464	220970	261920
Inventories	0	0	0	0	0	0	0	0	0	0
Cash	76545	72249	69334	76637	72267	120427	109989	105563	91712	116102
Receivables	2346	2644	3099	3203	3231	3105	3278	3434	3806	4034
Total Assets	245155	242698	238425	244626	245610	314706	314624	301450	297258	353240
Total Liabilities	224020	221479	216108	219836	221179	288506	287261	276259	273459	327914
Total Equity	21135	21219	22317	24790	24431	26200	27363	25191	23799	25326
Sales	10360	10207	11170	12131	11756	11703	12027	12148	11945	13000
Cost of Goods Sold	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
EBIT	2298	2121	2899	3101	2712	2899	3171	3327	2316	3395
Income tax expense	318	-22	722	508	470	479	478	553	372	708
Interest Expense	400	428	604	991	1375	375	3	1544	6421	9054
Net Income	1980	2143	2177	2593	2242	2420	2693	2774	1944	2687
M & O Costs	8050	8077	8269	9015	9034	8716	8889	8801	9583	9530
Depreciation	604	722	871	977	1101	1276	1312	918	643	375
Annual Effective Tax Rate	4.508268	4.812353	3.853053	3.911964	4.334808	4.036909	3.79281	3.651338	5.157599	3.829161
Long Term Liabilities	11497	11430	11620	11093	12509	13805	13475	14996	18839	23272

FINANCIAL ANALYSIS OF STATE STREET WITH BNY MELLON

Table 2

Sales (All figures in Millions of Dollars)											
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025 (ESTIMATE)
Sales	10360	10207	11170	12131	11756	11703	12027	12148	11945	13000	13355.41
Sales Growth		-0.01	0.09	0.09	-0.03	-0.004	0.03	0.01	-0.02	0.09	0.03

Table 3

M&O Costs (All figures in Millions of Dollars)											
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025 (ESTIMATE)
M & O Costs	8050	8077	8269	9015	9034	8716	8889	8801	9583	9530	9752.22
M & O Growth		0.003	0.02	0.09	0.002	-0.04	0.02	-0.01	0.09	-0.01	0.02

Table 4

Depreciation (All figures in Millions of Dollars)											
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025 (ESTIMATE)
Depreciation	604	722	871	977	1101	1276	1312	918	643	375	282.33
Depreciation Growth		0.20	0.21	0.12	0.13	0.16	0.03	-0.30	-0.30	-0.42	-0.25

Table 5

Annual Effective Tax Rate											
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025 (ESTIMATE)
Annual Effective Tax Rate	0.16	-0.01	0.33	0.20	0.21	0.20	0.18	0.20	0.19	0.26	0.28
Tax Rate Growth		-1.06	-33.31	-0.41	0.07	-0.06	-0.10	0.12	-0.04	0.38	0.09

FINANCIAL ANALYSIS OF STATE STREET WITH BNY MELLON

Table 6

Expenses (Interest Expense, All figures in Millions of Dollars)											
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025 (ESTIMATE)
Interest Expense	400	428	604	991	1375	375	3	1544	6421	9054	12766.69
Expense Growth		0.07	0.41	0.64	0.39	-0.73	-0.99	513.67	3.16	0.41	0.41

Table 7

Monthly Mortgage Payment (All figures in Millions of Dollars)											
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025 (ESTIMATE)
Monthly Mortgage Payment	33.33	35.67	50.33	82.58	114.58	31.25	0.25	128.67	535.08	754.50	1063.89
Monthly Mortgage Payment Growth		0.07	0.41	0.64	0.39	-0.73	-0.99	513.68	3.16	0.41	0.41

Table 8

Revenue Projections (All figures in Millions of Dollars)					
Financial Data/Years	2025	2026	2027	2028	2029
Revenue	13650.00	14332.50	15049.13	15801.58	16591.66
Revenue Growth	0.05	0.05	0.05	0.05	0.05

Table 9

CFAT Calculations for the Facility in Austin, TX (All figures in Millions of Dollars)													
Yrs	Revenues	Tax Expenses	Labor Cost	M&O Cost	Depreciation	Salvage Value	Loan	Expense for Facility	Total	Net Income	Gross Income	CFBT	CFAT
	0.05	0.06	0.02	0.02									
	13650	708	975.22	9752	83								
1	14332.5	750.5	994.7	9947.3	2	83	10	10954.0	11704.5	2628.0	14332.5	11925.0	11004.54
2	15335.8	788.0	1044.5	10842.5	4	79	10	11901.0	12689.0	2646.8	15335.8	12886.8	11944.03

FINANCIAL ANALYSIS OF STATE STREET WITH BNY MELLON

3	16409.3	827.4	1096.7	11818.3	4	75	10	12929.0	13756.4	2652.8	16409.3	13916.9	12953.62
4	17557.9	868.8	1151.5	12882.0	4	71	10	14047.5	14916.3	2641.6	17557.9	15020.2	14039.05
5	18787.0	912.2	1209.1	14041.4	4	67	10	15264.5	16176.7	2610.3	18787.0	16201.8	15206.03
6	20102.1	957.8	1269.6	15305.1	3	64	10	16587.6	17545.5	2556.6	20102.1	17468.2	16461.51
7	21509.2	1005.7	1333.0	16682.6	3	60	10	18028.6	19034.3	2474.9	21509.2	18823.5	17810.53
8	23014.9	1056.0	1399.7	18184.0	3	57	10	19596.7	20652.7	2362.2	23014.9	20275.9	19262.01
9	24625.9	1108.8	1469.7	19820.5	3	54	10	21303.2	22412.0	2213.9	24625.9	21831.1	20822.61
10	26349.7	1164.2	1543.1	21604.4	3	52	10	23160.5	24324.8	2024.9	26349.7	23497.5	22501.59
11	28194.2	1222.5	1620.3	23548.8	3	49	10	25182.1	26404.5	1789.6	28194.2	25280.7	24305.84
12	30167.8	1283.6	1701.3	25668.2	3	46	10	27382.5	28666.1	1501.7	30167.8	27190.2	26245.93
13	32279.5	1347.8	1786.4	27978.3	2	44	10	29776.7	31124.5	1155.1	32279.5	29235.8	28332.95
14	34539.1	1415.1	1875.7	30496.4	2	42	10	32384.1	33799.2	739.9	34539.1	31426.0	30577.41
15	36956.8	1485.9	1969.5	33241.0	2	40	10	35222.5	36708.4	248.4	36956.8	33770.9	32991.04
16	39543.8	1560.2	2068.0	36232.7	2	38	10	38312.7	39872.9	-329.1	39543.8	36281.6	35586.72
17	42311.9	1638.2	2171.4	39493.7	2	36	10	41677.0	43315.2	-1003.4	42311.9	38969.7	38378.28
18	45273.7	1720.1	2279.9	43048.1	2	34	10	45340.0	47060.2	-1786.4	45273.7	41847.6	41380.65
19	48442.9	1806.1	2393.9	46922.4	2	32	10	49328.4	51134.5	-2691.6	48442.9	44928.8	44609.89
20	51833.9	1896.4	2513.6	51145.5	2	30	10	53671.1	55567.5	-3733.6	51833.9	48227.5	48083.31
21	55462.3	1991.2	2639.3	55748.6	2	29	10	58399.9	60391.1	-4928.9	55462.3	51760.0	51820.55
22	59344.6	2090.8	2771.3	60765.9	2	27	10	63549.2	65640.0	-6295.4	59344.6	55540.8	55839.70
23	63498.7	2195.3	2909.8	66234.9	2	26	10	69156.7	71352.0	-7853.3	63498.7	59589.4	60164.39
24	67943.6	2305.1	3055.3	72196.0	2	24	10	75263.3	77568.4	-9624.8	67943.6	63922.5	64815.94
25	72699.7	2420.4	3208.1	78693.6	2	23	10	81913.7	84334.1	-11634.4	72699.7	68562.3	69821.47
26	77788.7	2541.4	3368.5	85776.1	2	21	10	89156.6	91697.9	-13909.3	77788.7	73528.3	75206.06
27	83233.9	2668.5	3536.9	93495.9	2	20	10	97044.8	99713.3	-16479.4	83233.9	78845.4	81000.87
28	89060.3	2801.9	3713.8	101910.5	2	18	10	105636.3	108438.2	-19377.9	89060.3	84536.4	87235.35
29	95294.5	2942.0	3899.5	111082.5	2	16	10	114993.9	117935.9	-22641.4	95294.5	90628.5	93944.40
30	101965.1	3089.1	4094.4	121079.9	2	15	10	125186.3	128275.4	-26310.3	101965.1	97151.0	101165.54
31	109102.6	3243.5	4299.2	131977.1	2	13	10	136288.2	139531.8	-30429.1	109102.6	104132.1	108936.17
32	116739.8	3405.7	4514.1	143855.0	2	12	10	148381.1	151786.9	-35047.0	116739.8	111606.1	117300.74
33	124911.6	3576.0	4739.8	156802.0	2	10	10	161553.8	165129.8	-40218.2	124911.6	119605.6	126303.02
34	133655.4	3754.8	4976.8	170914.2	2	9	10	175903.0	179657.8	-46002.3	133655.4	128169.6	135994.39
35	143011.3	3942.5	5225.6	186296.4	2	7	10	191534.1	195476.6	-52465.3	143011.3	137335.8	146426.08
36	153022.1	4139.7	5486.9	203063.1	2	5	10	208562.1	212701.7	-59679.6	153022.1	147147.4	157656.48
37	163733.7	4346.6	5761.3	221338.8	2	4	10	227112.1	231458.7	-67725.1	163733.7	157651.0	169748.51

38	175195.0	4564.0	6049.3	241259.3	2	2	10	247320.6	251884.6	-76689.6	175195.0	168893.0	182766.95
39	187458.7	4792.2	6351.8	262972.6	2	1	10	269336.4	274128.6	-86670.0	187458.7	180927.5	196785.84
40	200580.8	5031.8	6669.4	286640.2	1	0	10	293320.6	298352.4	-97771.6	200580.8	193809.0	211881.67

Te = local rates + (1 - local rates) * federal rate
0 + (1 - 0) * 0.21 = 0 + 1 * 0.21 = 0.21

Table 10:

CFAT Calculations for the Facility in Hyderabad, India (All figures in Millions of Dollars)													
Yrs	Revenues	Tax Expenses	Labor Cost	M&O Cost	Depreciation	Salvage Value	Loan	Expense for Facility	Total	Net Income	Gross Income	CFBT	CFAT
	0.05	0.06	0.02	0.02									
	13650	708	975	9752	83								
1	14332.5	750.5	994.7	9947.3	2	83	10	10954.0	11704.5	2628.0	14332.5	11925.0	11372.73
2	15335.8	788.0	1044.5	10842.5	4	79	10	11901.0	12689.0	2646.8	15335.8	12886.8	12321.12
3	16409.3	827.4	1096.7	11818.3	4	75	10	12929.0	13756.4	2652.8	16409.3	13916.9	13338.92
4	17557.9	868.8	1151.5	12882.0	4	71	10	14047.5	14916.3	2641.6	17557.9	15020.2	14431.49
5	18787.0	912.2	1209.1	14041.4	4	67	10	15264.5	16176.7	2610.3	18787.0	16201.8	15604.33
6	20102.1	957.8	1269.6	15305.1	3	64	10	16587.6	17545.5	2556.6	20102.1	17468.2	16864.21
7	21509.2	1005.7	1333.0	16682.6	3	60	10	18028.6	19034.3	2474.9	21509.2	18823.5	18215.72
8	23014.9	1056.0	1399.7	18184.0	3	57	10	19596.7	20652.7	2362.2	23014.9	20275.9	19667.55
9	24625.9	1108.8	1469.7	19820.5	3	54	10	21303.2	22412.0	2213.9	24625.9	21831.1	21226.01
10	26349.7	1164.2	1543.1	21604.4	3	52	10	23160.5	24324.8	2024.9	26349.7	23497.5	22899.94
11	28194.2	1222.5	1620.3	23548.8	3	49	10	25182.1	26404.5	1789.6	28194.2	25280.7	24695.80
12	30167.8	1283.6	1701.3	25668.2	3	46	10	27382.5	28666.1	1501.7	30167.8	27190.2	26623.64
13	32279.5	1347.8	1786.4	27978.3	2	44	10	29776.7	31124.5	1155.1	32279.5	29235.8	28694.08
14	34539.1	1415.1	1875.7	30496.4	2	42	10	32384.1	33799.2	739.9	34539.1	31426.0	30916.83
15	36956.8	1485.9	1969.5	33241.0	2	40	10	35222.5	36708.4	248.4	36956.8	33770.9	33303.00
16	39543.8	1560.2	2068.0	36232.7	2	38	10	38312.7	39872.9	-329.1	39543.8	36281.6	35864.68
17	42311.9	1638.2	2171.4	39493.7	2	36	10	41677.0	43315.2	-1003.4	42311.9	38969.7	38614.84
18	45273.7	1720.1	2279.9	43048.1	2	34	10	45340.0	47060.2	-1786.4	45273.7	41847.6	41567.43
19	48442.9	1806.1	2393.9	46922.4	2	32	10	49328.4	51134.5	-2691.6	48442.9	44928.8	44737.44
20	51833.9	1896.4	2513.6	51145.5	2	30	10	53671.1	55567.5	-3733.6	51833.9	48227.5	48140.97
21	55462.3	1991.2	2639.3	55748.6	2	29	10	58399.9	60391.1	-4928.9	55462.3	51760.0	51796.33
22	59344.6	2090.8	2771.3	60765.9	2	27	10	63549.2	65640.0	-6295.4	59344.6	55540.8	55720.14
23	63498.7	2195.3	2909.8	66234.9	2	26	10	69156.7	71352.0	-7853.3	63498.7	59589.4	59934.39
24	67943.6	2305.1	3055.3	72196.0	2	24	10	75263.3	77568.4	-9624.8	67943.6	63922.5	64458.58
25	72699.7	2420.4	3208.1	78693.6	2	23	10	81913.7	84334.1	-11634.4	72699.7	68562.3	69317.81

26	77788.7	2541.4	3368.5	85776.1	2	21	10	89156.6	91697.9	-13909.3	77788.7	73528.3	74534.95
27	83233.9	2668.5	3536.9	93495.9	2	20	10	97044.8	99713.3	-16479.4	83233.9	78845.4	80138.69
28	89060.3	2801.9	3713.8	101910.5	2	18	10	105636.3	108438.2	-19377.9	89060.3	84536.4	86155.76
29	95294.5	2942.0	3899.5	111082.5	2	16	10	114993.9	117935.9	-22641.4	95294.5	90628.5	92618.04
30	101965.1	3089.1	4094.4	121079.9	2	15	10	125186.3	128275.4	-26310.3	101965.1	97151.0	99559.73
31	109102.6	3243.5	4299.2	131977.1	2	13	10	136288.2	139531.8	-30429.1	109102.6	104132.1	107014.55
32	116739.8	3405.7	4514.1	143855.0	2	12	10	148381.1	151786.9	-35047.0	116739.8	111606.1	115022.89
33	124911.6	3576.0	4739.8	156802.0	2	10	10	161553.8	165129.8	-40218.2	124911.6	119605.6	123624.06
34	133655.4	3754.8	4976.8	170914.2	2	9	10	175903.0	179657.8	-46002.3	133655.4	128169.6	132864.49
35	143011.3	3942.5	5225.6	186296.4	2	7	10	191534.1	195476.6	-52465.3	143011.3	137335.8	142789.96
36	153022.1	4139.7	5486.9	203063.1	2	5	10	208562.1	212701.7	-59679.6	153022.1	147147.4	153452.87
37	163733.7	4346.6	5761.3	221338.8	2	4	10	227112.1	231458.7	-67725.1	163733.7	157651.0	164909.51
38	175195.0	4564.0	6049.3	241259.3	2	2	10	247320.6	251884.6	-76689.6	175195.0	168893.0	177217.39
39	187458.7	4792.2	6351.8	262972.6	2	1	10	269336.4	274128.6	-86670.0	187458.7	180927.5	190442.50
40	200580.8	5031.8	6669.4	286640.2	1	0	10	293320.6	298352.4	-97771.6	200580.8	193809.0	204652.59

Te = local rates + (1 - local rates) * federal rate
0.05 + (1 - 0.05) * 0.8 = 0.05 + 0.95 * 0.8 = 0.5 + 0.76 = 0.126

Table 11:

Labor Costs (Estimated, 10% of M&O Costs, in Millions of Dollars)											
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024.00	2025 (ESTIMATE)
Labor Costs	805.00	807.70	826.90	901.50	903.40	871.60	888.90	880.10	958.30	953.00	975.22
Labor Cost Growth		0.00	0.02	0.09	0.00	-0.04	0.02	-0.01	0.09	-0.01	0.02

Table 12:

IRR, Payback, and Annual Worth for Austin, TX (All figures in Millions of Dollars)		
	Cash Flow	Cumulative Cash Flow
Initial Investment	-2003.311445	-2003.311445
Cash Flow Year 1	43.74	-1959.571445
Cash Flow Year 2	113.25	-1846.321445
Cash Flow Year 3	182.73	-1663.591445
Cash Flow Year 4	316.71	-1346.881445
Cash Flow Year 5	384.19	-962.6914446
Cash Flow Year 6	446.82	-515.8714446
Cash Flow Year 7	511.88	-3.991444614
Cash Flow Year 8	580.61	576.6185554
Cash Flow Year 9	652.11	1228.728555
Cash Flow Year 10	726.4	1955.128555
Cash Flow Year 11	850.16	2805.288555
Cash Flow Year 12	964.5	3769.788555
Cash Flow Year 13	1099.31	4869.098555
Cash Flow Year 14	1247.05	6116.148555
Cash Flow Year 15	1407.37	7523.518555
Cash Flow Year 16	1583.71	9107.228555
Cash Flow Year 17	1785.64	10892.86856
Cash Flow Year 18	2004.83	12897.69856
Cash Flow Year 19	2248.04	15145.73856
Cash Flow Year 20	2516.18	17661.91856
Cash Flow Year 21	2811.3	20473.21856
Cash Flow Year 22	3132.58	23605.79856
Cash Flow Year 23	3482.36	27088.15856
Cash Flow Year 24	3870.21	30958.36856
Cash Flow Year 25	4296.58	35254.94856
Cash Flow Year 26	4762.57	40017.51856
Cash Flow Year 27	5277.17	45294.68856
Cash Flow Year 28	5852.66	51147.34856
Cash Flow Year 29	6489.55	57636.89856
Cash Flow Year 30	7199.61	64836.50856
Cash Flow Year 31	7989.94	72826.44856
Cash Flow Year 32	8869.06	81695.50856
Cash Flow Year 33	9846.48	91541.98856
Cash Flow Year 34	10929.84	102471.8286
Cash Flow Year 35	12138.82	114610.6486
Cash Flow Year 36	13479.8	128090.4486
Cash Flow Year 37	14966.48	143056.9286
Cash Flow Year 38	16629.08	159686.0086
Cash Flow Year 39	18468.73	178154.7386

Cash Flow Year 40	20456.94	198611.6786
	198611.6786	
IRR	23%	
Payback	39 years	
AW	81532306.73	
Required Return	11%	
NPV	$8,277.55	
No. Periods (Years)	40	

Table 13:

IRR, Payback, and Annual Worth for Hyderabad, India (All figures in Millions of Dollars)		
	Cash Flow	Cumulative Cash Flow
Initial Investment	-2003.311445	-2003.311445
Cash Flow Year 1	29.33	-1973.981445
Cash Flow Year 2	95.56	-1878.421445
Cash Flow Year 3	154.37	-1724.051445
Cash Flow Year 4	267.07	-1456.981445
Cash Flow Year 5	323.73	-1133.251445
Cash Flow Year 6	376.36	-756.8914446
Cash Flow Year 7	431.42	-325.4714446
Cash Flow Year 8	489.15	163.6785554
Cash Flow Year 9	549.65	713.3285554
Cash Flow Year 10	612.94	1326.268555
Cash Flow Year 11	714.73	2040.998555
Cash Flow Year 12	801.3	2842.298555
Cash Flow Year 13	895.04	3737.338555
Cash Flow Year 14	996.83	4734.168555
Cash Flow Year 15	1106.51	5840.678555
Cash Flow Year 16	1224.28	7064.958555
Cash Flow Year 17	1350.28	8415.238555
Cash Flow Year 18	1484.88	9900.118555
Cash Flow Year 19	1638.36	11538.47856
Cash Flow Year 20	1810.81	13349.28856
Cash Flow Year 21	2002.45	15351.73856
Cash Flow Year 22	2223.37	17575.10856
Cash Flow Year 23	2464.76	20039.86856
Cash Flow Year 24	2736.8	22776.66856
Cash Flow Year 25	3030.41	25807.07856
Cash Flow Year 26	3356.64	29163.71856
Cash Flow Year 27	3715.67	32879.38856
Cash Flow Year 28	4121.69	37001.07856
Cash Flow Year 29	4570.02	41571.09856

Cash Flow Year 30	5071.7	46642.79856
Cash Flow Year 31	5627.92	52270.71856
Cash Flow Year 32	6248.62	58519.33856
Cash Flow Year 33	6936.61	65455.94856
Cash Flow Year 34	7702.58	73158.52856
Cash Flow Year 35	8556.13	81714.65856
Cash Flow Year 36	9500.14	91214.79856
Cash Flow Year 37	10547.57	101762.3686
Cash Flow Year 38	11720.06	113482.4286
Cash Flow Year 39	13016.07	126498.4986
Cash Flow Year 40	14422.83	140921.3286
	140921.3286	
IRR	21%	
Payback	39 years	
AW	31169421.41	
Required Return	11%	
NPV	$5,733.84	
No. Periods (Years)	40	

Table 14:

Net Income (All figures in Millions of Dollars)											
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025 (ESTIMATE)
Net Income	1980	2143	2177	2593	2242	2420	2693	2774	1944	2687	2838.737
Net Income Growth		0.08	0.02	0.19	-0.14	0.08	0.11	0.03	-0.30	0.38	0.06

Table 15:

Profit Margin (%)											
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025 (ESTIMATE)
Profit Margin	19.11	20.99	19.49	21.37	19.07	20.68	22.4	22.83	16.27	20.67	21.11
Profit Margin Growth		0.098	-0.071	0.096	-0.108	0.084	0.083	0.019	-0.287	0.270	0.021

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Table 16:

ROE (%)											
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025 (ESTIMATE)
ROE	9.37	10.1	9.76	10.46	9.18	9.24	9.84	11.01	8.17	10.61	11.20
ROE Growth		0.078	-0.034	0.072	-0.122	0.007	0.065	0.119	-0.258	0.299	0.056

Table 17:

ROI (%)											
Financial Data/Years	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025 (ESTIMATE)
ROI	0.81	0.88	0.91	1.06	0.91	0.77	0.86	0.92	0.65	0.76	0.77
ROI Growth		0.086	0.034	0.165	-0.142	-0.154	0.117	0.070	-0.293	0.169	0.016